Question #1 of 23

Question ID: 1687640

Dae Han invests USD 200,000 at an expected return of 8.2% for 17 years. All of the return is from deferred capital gains. The cost basis of 80% and the capital gains tax rate is 20%. **Calculate** the proportion of investment gains consumed by taxes.

A) 22.68%.

B) 20.00%.

C) 21.42%.

Question #2 of 23

Question ID: 1687629

Assuming the global economy is in a recession, what is *most likely* to be the effect on the global Gini coefficient of wealth distribution?

A) Increase.

B) Decrease.

C) No change.

Question #3 of 23

Question ID: 1687630

Which phase follows the career development phase of the wealth life cycle?

A) Neither the peak accumulation phase nor the preretirement phase.

B) Preretirement phase.

C) Peak accumulation phase.

Question #4 of 23

Question ID: 1687636

Maurice Boucher invests EUR 10,000 for 10 years at an expected return of 8.6%. An accrual tax of 25% is applied each year to investment returns. What is the proportion of investment returns lost in tax over the time horizon?

A) 32%.

B) 25%.

C) 36%.

Question #5 of 23

Question ID: 1687626

Which of the following is *closest* to the definition of human capital?

A) The mortality-adjusted, present value of future expected earnings until retirement.

B) The sum of future expected earnings until retirement.

C) The present value of future expected earnings until retirement.

Question #6 of 23

Question ID: 1687631

Nathan Ellis and Peter Donaldson are the same age and are projected to earn the same income until retirement. Ellis is a university professor, and Donaldson is a salesperson with a commission and bonus elements based upon performance. Who is *most likely* to have the higher human capital?

A) Ellis.

B) They will have the same human capital.

C) Donaldson.

Question #7 of 23

Question ID: 1687633

In retirement, what typically happens to the relative importance of an individual's investment portfolio in determining their financial situation?

A) Stays the same.

B) Decreases.

C) Increases.

Question #8 of 23

Question ID: 1687637

Deontay Jones invests USD 60,000 for 15 years at an expected return of 9.2%. An accrual tax of 40% is applied each year to investment returns. What is the proportion of the investment returns lost to tax over the time horizon?

A) 60%.

B) 40%.

C) 50%.

Question #9 of 23

Question ID: 1687627

What is the driver of the discount rate used to calculate the present value of human capital?

A) Long-term economic wage growth.

B) Occupational income risk.

C) Equity market risk.

Question #10 of 23

Question ID: 1687634

Which of the following is *least appropriate* as an inflation hedge in the short term?

A) Equities.

B) Oil.

C) Gold.

Question #11 of 23

Question ID: 1687623

Which of the following is *most likely* to be classified as a mixed asset?

A) Jewelry.

B) Commodities.

C) Furniture.

Question #12 of 23

Question ID: 1687638

Lucile Lawless plans to invest EUR 100,000 for 15 years in an accrual tax jurisdiction that taxes investments annually at 40%. Her wealth manager advises her that a return of 8% per annum is achievable over her time horizon, but that this may vary over time. Lawless asks about the impact of accrual taxes. Which of the following is *most accurate*?

A) If Lawless's time horizon shortens, the overall tax drag remains the same.

B) Lawless's tax drag will be 40% irrespective of any change in time horizon or expected return.

C) If Lawless's return increases, the proportion of tax drag will increase.

Question #13 of 23

Question ID: 1687635

Which of the following describes a client's unwillingness to take risk?

A) Risk capacity.

B) Risk tolerance.

C) Risk aversion.

Question #14 of 23

Question ID: 1687643

Which of the following is a disadvantage of a time-based rebalancing policy?

A) Unresponsive to significant and sudden market changes.

B) Increased risk of portfolio drift.

C) Complex policy to implement.

Question #15 of 23

Question ID: 1687622

The total value of all assets owned by an individual is termed:

A) economic net worth.

B) aggregate wealth.

C) net worth.

Question #16 of 23

Question ID: 1687641

Kirsty Lee invests EUR 150,000 at an expected return of 7.5% for 15 years. All of the return is from deferred capital gains. The cost basis is 70%, and the capital gains tax rate is 25%. **Calculate** the additional tax due over the investor's horizon compared to Lee having a cost basis of 100%.

A) EUR 26,250.

B) EUR 16,250.

C) EUR 11,250.

Question #17 of 23

Question ID: 1687632

Which of the following financial stages of life form part of the critical planning phase?

A) Early career.

B) Career development.

C) Early retirement.

Question #18 of 23

Question ID: 1687628

Which value of the Gini coefficient indicates the greatest equality of wealth distribution?

A) 0.65.

B) 0.35.

C) 0.55.

Question #19 of 23

Question ID: 1687642

A client has multiple competing objectives. Which of the following is the recommended approach in creating an investor policy statement?

A) Focus only on a single objective.

B) Assign each objective an equal weight.

C) Identify the primary and secondary objectives.

Question #20 of 23

Question ID: 1687644

Which of the following is an advantage of a threshold rebalancing policy compared to a time-based rebalancing policy?

A) Aligns to long-term investment objectives.

B) Lower transaction costs.

C) Simple implementation.

Question #21 of 23

Question ID: 1687639

Shanti Smith invests CHF 110,000 at an expected return of 7.5% for 18 years. All of the return is from deferred capital gains. The cost basis is 100%, and the capital gains tax rate is 20%. **Calculate** the total tax due over the investor's time horizon and proportion of investment gains consumed by taxes.

Total tax due Tax drag

A) CHF 55,437 20%

B) CHF 55,437 28%

C) CHF 58,867 20%

Question #22 of 23

Question ID: 1687624

A family business is *most likely* to be classified as which of the following?

A) Financial wealth.

B) Real wealth.

C) Productive wealth.

Question #23 of 23

Question ID: 1687625

Extending the traditional balance sheet to include future assets and future liabilities is used to calculate which of the following?

A) Net worth.

B) Future aggregate wealth.

C) Economic net worth.